

you if you admit you made a mistake when you are wrong. Continuing to justify your thesis while your thesis fails is a serious mistake.

Roque also points out that “the cost of being emotionally burdened by a losing position” is substantial. Traders must consider how much of “your time and efforts are being monopolized by your losing position” including the time you spend “rationalizing the holding.”

Beware of the sunk cost fallacy

Howard Marks is co-chairman of Oaktree Capital Management, which oversees \$192 billion in institutional assets. He is also the author of the classic investing book, *The Most Important Thing*.²⁴² He points out that the original sunk cost of the purchase price is irrelevant: “The money is gone from your wallet, and that fact cannot be reversed. The question is what you should do today.” Marks notes that in the Bear Stearns trade, the JPMorgan purchase price means \$28 is gone, and what you have is an asset worth \$2. “The question isn’t whether you should hold it from a cost of \$30. The question is whether you would buy it today for \$2.”

Past actions should not determine present ones.

Skip the mental accounting

Eddy Elfenbein, manager of the AdvisorShares Focused Equity ETF (CWS) and writer at Crossing Wall Street, points out: “The worst investor in the world is the person who bought a stock, then realized it wasn’t the company they thought it was and they’re now sitting on a loss.” The investor who refuses to sell because they don’t want to take the loss has not realized yet that the loss of capital has already occurred. Waiting to break even is a form of mental accounting and a poor use of capital. As Elfenbein says, “The stock is completely unaware of your purchase price.”